

LOMBA SIMULASI INVESTASI SAHAM

INVENTURE

**Leveraging Economic Sustainability: From
Compliance to Competitive Marketing Advantage**

TEAM:

The Wealth Society

TITLE:

RIGOROUS 12-month Investment Strategy

LIST OF STOCKS:

BBRI, AALI, PGEO, AMMN, ANTM

1. Portfolio Objective

Objective. Our goal for the next 12 months is to beat the IDX Composite by putting money into five different companies where we can actually analyze what is driving their earnings, and not just simply follow trends. We prefer holding commodity stocks that have a real competitive advantage, like having great assets and having the ability to compress costs well, supported by a good business structure. To balance that out, we also decided to go with domestic banking and a renewable energy stock with a steady and contracted cash flow. It is important to consider that this competition will track performance for the next 3 weeks; however, we have built this portfolio around a one-year thesis. This means that if prices move around during that short 3-week period, we're treating that as noise from short-term catalysts.

Strategy and selection criteria. We picked these five stocks based on: earnings, improving / stable cash flow, strong balance sheets, exposure to commodities priced in dollars/cash flow linked to the dollar (to reduce rupiah exposure in case it drops), a reasonable valuation through a DCF, peers, or historical analysis, and a thesis.

This approach mattered more given how bad the Indonesian market had been lately. The IDX Composite dropped by 34.74% in the first 6 months of 2026, foreign investors pulled out a net of Rp98.2 trillion by September 11 (Indikator Bisnis, 2026), and the Rupiah hit its lowest level of almost Rp18,190 per dollar (EmitenNews, 2026). Given all of that information, we didn't want to just bet on the market recovering, so we explicitly chose specific companies with specific reasons to do well, factors we can actually check as we go along the way.

Risk/return profile. Lastly, this portfolio is quite aggressive. AALI (20%), ANTM (18%), and AMMN (20%) make up 58% of our whole portfolio, which gives us a lot of exposure to palm oil, gold, nickel, and copper. On the other hand, BBRI (22%) is how we're playing domestic credit and the broader economy. PGEO (20%) is the more defensive stock that we chose because its cash flow is contracted and doesn't swing a lot with commodity prices. Although our stocks come from a variety of industries, we can't say that we're well diversified because a few of these still move for the same reasons: commodity prices, foreign money inflow/outflow, interest rates, and the Rupiah.

2. Why Did We Choose These Stocks?

2.1 Shared Macroeconomic Backdrop

(This will be our overall macro analysis that represents all of our stock picks.)

Although its domestic economy is doing fine, Indonesia has been experiencing a tough financial market, and external pressures have also gotten a lot worse. Bank Indonesia's policy rate is at 5.75% by August 2026, up from 4.75% at the start of the year. BI said holding the rate at that level was to protect the rupiah during sensitive global conditions, while also keeping inflation low within its target range of 2.5% plus or minus 1% (Bank Indonesia, 2026a, 2026b)

Overall, the economy grew 5.29% year-over-year in Q2 2026, and inflation in August was recorded at 3.19%, part of them being core inflation at 2.92% (BPS, 2026a, 2026b). So the existing growth is still helping businesses, even if BI can't cut rates and ease things up even more.

In addition to that, money conditions are currently not doing too well. The 10-year government bond yield was around 7.17% in the middle of September, and the rupiah closed at Rp17,635 per US dollar on September 14 (BRI Danareksa Sekuritas, 2026; Bank Indonesia, 2026c). We think global commodity prices play a huge role here; Brent crude oil's price was \$104 per barrel, and both gold and copper stayed relatively high during the middle of September. (Indopremier, 2026; Investing.com, 2026)

Table 1. Macro dashboard

Indicator	Latest value	Date	Portfolio Relevance
BI-Rate	5.75% (+100 bps in 2026)	19 Aug 2026	This affects BBRI's funding conditions, credit demand, and valuation; It also increases the discount rate (related to PGEO)
Real GDP growth	5.29% YoY	Q2 2026	Supports domestic credit and economic activity, relevant to BBRI
CPI/core inflation	3.19% / 2.92% YoY	Aug 2026	Influences monetary-policy expectations and domestic purchasing power (BPS, 2026b)
10yr SBN yield	7.157%	18 Sept 2026	Raises the discount rate applied to equities (particularly rate-sensitive stocks)
USD/IDR	Rp17,812	18 Sept 2026	Affects imported costs and rupiah value of foreign-currency-linked earnings
Brent crude	\$103.87/bbl	18 Sept 2026	Supports some commodity revenues but raises energy and input costs
Gold	\$4,383.4/oz	18 Sept 2026	Important to ANTM and AMMN's gold exposure
Copper	\$6.62/lb	18 Sept 2026	Key commodity-price driver for AMMN and relevant to ANTM's downstream exposure
CPO	MYR 4,898/t (+22.72% YTD)	18 Sept 2026	Primary commodity-price driver for AALI

None of these indicators hit our five stocks the same way. Higher rates would hurt BBRI in 3 parts such as: funding costs, how much people want to borrow, and how much investors will be willing to pay for the stock; they could also make PGEO's long-term cash flow worth less today. On the other hand, having strong GDP growth helps BBRI because it means people would like to get more loans, and it means a healthier economy overall. A weaker rupiah, however, makes imports more expensive, but it also means that anything earned in US currency is worth more than in rupiah terms.

So, in conclusion, each stock in our portfolio depends on its own factors of growth, like interest rates, exchange rates, and commodity prices. The sections coming up go through each company one by one and show how these factors actually turn into earnings, cash flow, valuation, and the case for owning each stock.

2.2 AALI: Astra Agro Lestari

Fundamental Analysis

AALI is majority-owned by Astra International, which holds a 79.7% stake (Astra International, n.d.). Roughly half of its raw fruit (FFB) comes from its own plantations, and the rest comes from smaller partner farmers and outside growers. On top of growing the fruit, AALI also refines it into crude palm oil (CPO) itself (Astra Agro Lestari, 2024; Astra Agro Lestari, n.d.-a). That combination means AALI's fortunes move closely with CPO prices, but it also gets to capture some extra value further down the supply chain instead of just selling raw fruit.

For full-year 2025, revenue grew 31% to Rp28.65 trillion, and profit grew 28% to Rp1.47 trillion. The company generated Rp4.21 trillion in cash from its operations while only spending Rp782 billion on capex, and it ended the year with no bank debt at all (Astra Agro Lestari, 2026a). In H1 2026, revenue grew a more modest 5.62% to Rp15.26 trillion, but profit jumped 56.5% to Rp1.10 trillion. When you look at it the first time, that looks like a big jump in profitability. But when we dug into it even more, we found it's mostly a distortion; the prior-year period included a one-off Rp400 billion provision for a land-licensing issue that made that earlier quarter look artificially weak (Kontan, 2026a). If we adjust for that one-off item using a normal 28% tax rate, real profit growth comes out to roughly 11%, nowhere close to the 56.5% data. So we're treating that 11% as the real growth number.

The biggest operational issue AALI is dealing with is that its trees are getting older and producing less fruit. Yield per hectare fell from 21.4 tonnes in 2018 to just 15.6 tonnes in 2025, and about 42% of its palms are now over 19 years old (Kontan, 2026b; Astra Agro Lestari, 2023; Bareksa, 2026a). That's a real problem in the short run, but it also means that they need to replant. AALI is replanting 8,000 hectares in 2026, up from 5,080 hectares in 2025, and plans to keep replanting at least 6,000 hectares a year for the following four years (Bisnis.com, 2026a; CNBC Indonesia, 2026a). New trees typically start bearing fruit after about three to four years (Astra Agro Lestari, 2026a). The core idea here is what we'd call a replanting dip and recovery: production and cash flow will likely soften while old trees are being replaced, but should improve later as the new, younger trees start maturing and producing more.

AALI is planning to spend Rp1.4 trillion in 2026, a huge increase of 79% from the year before, and most of that money is going straight into rebuilding its plantations and pushing the replanting effort forward (Bisnis.com, 2026a). Because of that spending jump, our DCF assumes AALI's free cash flow will actually look weaker during these replanting years, before the payoff from more productive trees starts showing up later. At the end of the day, though, what really decides how much money AALI makes is still the price of CPO, and that price bounces around based on things AALI can't control: how much palm oil gets used for biodiesel, the weather, energy costs, and how much competing vegetable oil (like soybean or sunflower) is available around the world. And since AALI doesn't really have much land left to expand into, its growth will mostly focus on squeezing more oil out of the land it already owns, finding ways to extract that oil more efficiently, and keeping costs low.

Valuation

We use a 5 year DCF based on CPO prices, production volume, and replanting execution. Our base case produces a value of **Rp12,527 per share**, compared with the Rp8,600 closing price, implying 45.7% upside.

Table 2. DCF scenarios

Scenario	Value/share	Upside vs Rp8,600 (last closing price)
Bear	Rp6,280	-27.0%
Base	Rp12,527	+45.7%
Bull	Rp17,524	+103.8%

Further details in Appendix

The valuation is sensitive to CPO prices, the discount rate, and terminal growth. The terminal growth accounts for ~66% of EV.

Technical Analysis

AALI is currently in a strong bullish trend, trading above its rising 20-day EMA of Rp8,293. Its RSI of 65.7 indicates positive momentum, although momentum has recently weakened as the RSI declined from overbought territory. AALI is currently approaching resistance around Rp8,800–9,000, while the 20-day EMA around Rp8,300 provides the nearest support. A break above Rp9,000 with strong volume could indicate continuation of the upward trend, while a decline below the 20-day EMA would weaken the current momentum.



Macroeconomic Analysis

AALI's main macro exposure is CPO pricing, while a weaker Rupiah can also increase the IDR value of internationally priced commodities. We chose AALI because its ageing plantation base creates a long-term productivity opportunity, while its strong balance sheet with no debt provides the ability to fund the replanting cycle. The key thesis is therefore not immediate volume growth, but that near-term production weakness is partly the result of deliberate asset renewal and can be followed by higher yields as replanted palms mature.

2.3 BBRI: Bank Rakyat Indonesia

Fundamental Analysis

BBRI's profits are growing but not on paper. H1 2026 net profit increased by 17.5% to Rp31.2 trillion, and EPS rose from Rp174 to Rp205 (CNBC Indonesia, 2026b; Bisnis.com, 2026b). What's actually driving them, though, is their interest income. Their interest income rose to 9.9% while interest expense actually fell; this means that they are doing really well performance-wise. And we can see that the bank got better at collecting cheap money: its cost of funds fell from 3.0% to 2.5% as its CASA deposits climbed to 67.6% (IDN Financials, 2026a; Stockwatch, 2026). Credit quality is also improving: the cost of credit eased from 3.4% to 3.1%, loans-at-risk fell to 9.1%, and CAR sits at a good level (21.6%). All of this matters for us because BBRI's earnings really depend on its micro-lending book, and that book is improving from unusually high credit costs. But we don't want to only take the positive sides of it. To contradict our recent positive points, JPMorgan actually dug into the Q2 2026 beat and found that it came in 21% above their estimate mostly because of lower costs, not because of increasing loan volume, and it consolidated to a loan-to-deposit ratio that actually increased to 104%, while its NIM slipped to around 7.5% as funding got a bit more expensive for them. Total credit and financing came in at Rp1,646 trillion, up 16.2% YoY, while deposits grew more slowly to Rp1,581 trillion, up 6.7% YoY (Radar Jabar, 2026), a real gap given loan growth is outpacing the deposit base funding it, and BBRI's capital ratio decreased from 22.9% in Q1 2026 to either 21.5% or 19.35% by the middle of 2026 depending on the source, a discrepancy we couldn't resolve from public reporting and are flagging rather than picking one number silently.

CAMELS:

From a CAMELS analysis point of view, BBRI is mostly strong with only one negative side. On capital, a CAR of 21.6% is well above what the regulators require. On asset quality, the trend is genuinely improving; we can see that because CoC is falling and loans-at-risk is dropping as well to around 9.1%. Both of these factors mean that a bank is cleaning up its book. On management, the fact that CoF is falling while most of the sector is fighting rising CoF, that shows how effective and deliberate BBRI is in maintaining its deposit mix. On earnings, profit growth is great, and NIM is still high for the industry even after a slight decrease, so we can conclude that the main core of the business is relatively healthy. Liquidity is one area we'd worry about, with a loan-to-deposit ratio increasing to 10.4%, meaning the bank is lending out more money than its deposit base can

comfortably support, which is worth being cautious about. And lastly, on sensitivity to risk, BBRI's whole margin story depends on the behavior of interest rates, as another rate hike from BI would affect the bank directly, especially as it is already seeing rising funding costs.

Valuation

At Rp3,400 (as of 14 September), BBRI trades at roughly 8.3x its yearly first-half earnings and about 1.6x its book value; this is against an ROE of 18.8%. When compared against its competitors, Bank BNI actually looks cheaper on the surface with a 6.7x earnings multiple and 0.88x book value, but it's also generating a lower return on the capital it has, which isn't necessarily better. Bank Mandiri trades at 1.2x book and 6.8x next year's expected earnings, both well below its own 10-year average of 1.6x and 11.2x. So the best way to put it is that BBRI looks cheap when compared to its own history, but not particularly cheap when compared with other big banks.

Technical Analysis

BBRI is currently in a moderately bullish trend, trading slightly above its 20-day EMA of Rp3,291. However, momentum has weakened during the recent decline from around Rp3,400, with RSI falling to 54.6 from above 70. The Rp3,400–3,450 range acts as the nearest resistance, while Rp3,290 and Rp3,200–3,250 act as support levels. A break above Rp3,450 could signal bullish momentum, while a decline below the 20-day EMA would weaken the current trend.



Macroeconomic Analysis

When BI keeps rates high, it squeezes funding costs for all banks, but BBRI gets impacted by that squeeze less because it relies so heavily on its large CASA. It's also worth paying attention that foreign investors kept buying BBRI through August even while they were selling the majority of the Indonesian index (Pluang, 2026), which tells us that institutional money is seeing something in this story beyond the great profit numbers.

Stock Selection

We decided to choose BBRI because its micro-lending costs are recovering while the stock still trades below its own historical valuation, even though its fundamentals haven't actually gotten worse.

2.4 ANTM: Aneka Tambang

Fundamental Analysis

Revenue grew from Rp69.2 trillion in FY2024 to Rp84.6 trillion in FY2025, while core segment profitability increased from Rp5.7 trillion to Rp11.5 trillion. In Q1 2026, revenue reached Rp29.3 trillion, EBITDA Rp5.1 trillion, and net income Rp3.3 trillion, continuing its strong earnings performance.

Nickel is becoming even more important to ANTM's growth. The company has significant nickel ore production and is developing projects that process nickel into higher-value products for the battery industry. This gives an opportunity to benefit from Indonesia's continued nickel downstreaming.

ANTM also has substantial financial capacity, with Rp9.0 trillion in cash in Q1 2026 and a low D/E ratio of 0.13 by the end of 2025, indicating relatively low financial leverage.

Valuation

Table 3. ATNM vs. peer valuation and profitability

Company	EV/EBITDA	P/E	ROIC	ROE
ANTM	6.7x	9.1x	16.13%	26.83%
NCKL	4.6x	5.5x	10.70%	26.02%
INCO	8.0x	18.5x	4.04%	5.58%
MDKA	14.4x	168.8x	4.86%	4.48%
MBMA	12.9x	52.8x	6.09%	7.35%

Source: Koyfin, 18 September 2026. All figures are LTM

Technical Analysis

We can see that ANTM is in a bullish trend, trading at Rp3,340 above its 20-day EMA of Rp3,184. Its RSI of 63.0 shows positive momentum while remaining below the conventional overbought level of 70. ANTM is closing in on the resistance level at around Rp3,400, followed by stronger resistance around Rp3,600–3,800. The 20-day EMA around Rp3,180 provides the nearest support, while Rp3,000–3,050 acts as a secondary support. A break above Rp3,400 could signal further upward momentum, while a decline below the 20-day



EMA would weaken the current trend. **TradingView**

Macroeconomic Analysis

ANTM has exposure mainly to gold and nickel, at 79% and 18% of revenue respectively in FY2025. Gold supports its existing earnings base, while nickel provides exposure to Indonesia's downstreaming and battery-material industry. Therefore, gold prices, nickel ore prices, domestic nickel quotas, and downstream demand are key macro drivers.

Our interpretation: ANTM trades at a premium to NCKL but below the other three peers on both EV/EBITDA and P/E. Furthermore, it has the highest ROIC and ROE in the group. This suggests that ANTM has a unique combination of relatively strong capital efficiency with a moderate valuation. NCKL remains cheaper, but ANTM offers a broader combination of gold, nickel, and downstream exposure.

Stock selection

We chose ANTM for its strong profitability, solid financial position, and exposure to both gold and Indonesia's nickel downstreaming opportunity. Main risks are gold-margin compression, weaker nickel prices, and execution risks in its downstream projects.

2.5 AMMN: Amman Mineral Internasional

Fundamental Analysis

AMMN's Q1 2026 data shows a real turnaround that it experienced. Sales were US\$808 million, EBITDA was US\$508 million (63% margin), and the company earned US\$163 million in net profit. This is caused by factors such as Batu Hijai Phase 8 now pulling out richer ore, and they are doing plant expansion from being able to process about 40 million tonnes a year to double that number, to 85 million tonnes a year, which they have started utilizing since the middle of this year. But it's important for us to consider that AMMN's permit that lets them export raw, unprocessed ore ended in April. This means that they have been relying on smelters that actually work and are not able to ship raw materials overseas. AMMN wants to produce 162,662 tonnes of finished copper this year, which is more than double last year, and says the smelter should be able to process all of the mine's output by June. However, it's also planning another shutdown for maintenance later this year in December 2026, or January 2027, so it might disrupt the climb a little. On top of that, mining costs also increased by 29% in Q1 because of longer hauling distances, and fuel got more expensive as well, and the government also raised the royalties AMMN has to pay on both copper and gold. Those two factors add an additional disturbance to the growth plan that they have.

Valuation and Macroeconomic Analysis

At Rp 5,100 (September 14), AMMN currently trades at 34x its trailing earnings and about 4x its book value (Insider Indonesia, 2026), with a trailing EV/EBITDA around 17.5x. Those numbers look bad, mostly because they're still weighed down by 2025, which means that they are experiencing a rough transition year. Other than that, we could see that Wall Street has good expectations here, with 8 separate "Buy" ratings and an average price target of Rp6,939 (Investing.com, 2026d). In addition, copper is trading around US\$6.63 a pound and gold near US\$4,391 an ounce, both factors good for AMMN. The one real problem is Maybank cutting its 2027 and 2027 profit estimates because they think the smelter for mining will take longer to reach full speed than management is promising (Indonesian Mining Association, 2026).

Technical Analysis

AMMN has been in a bullish trend since its June low, forming higher highs and higher lows. However, the stock recently declined 4.49% to Rp4,680, bringing it close to its 20-day EMA of Rp4,673. RSI has also fallen from above 70 to 52.9, indicating weakening momentum. The Rp4,650–4,700 range provides the nearest support, while Rp5,100–5,200 represents the next major resistance. The recent decline was accompanied by relatively high trading volume, making the ability to hold the 20-day EMA an important indicator for the short-term trend.



Stock Selection

We choose to own AMMN because 2026 is the first year it actually runs as one full operation, including digging up better ores and turning them into finished copper products, instead of shipping raw materials away for a lower price. We think the market hasn't fully realized how much profit shows up once the smelter runs smoothly and consistently. We'll know we're right if the H1 results, due September 25, show the smelter producing more

than 35,000 tonnes of copper a quarter. We'll start to worry if there's any unplanned downtime beyond what's already scheduled. And the thing that would actually prove us wrong is another shutdown that will last several months, which will wipe out production and progress that have been built over this year. The strongest argument against us and the one we take most seriously is that at 34x earnings, the market is already expecting that it's going right. This is the riskiest stock we own, because so much of the story still depends on the things that haven't actually happened yet.

2.6 PGEO: Pertamina Geothermal Energy

Fundamental Analysis

PGEO operates 727 MW of geothermal capacity and manages around 70% of Indonesia's installed geothermal capacity. It is targeting 1 GW by 2028 and 1.8 GW by 2034. Its profitability is particularly strong. In FY2025, PGEO generated 53.9% gross margin, 76.3% EBITDA margin, and 31.8% net margin. EBITDA reached US\$330.4 million. Furthermore, in H1 2026, revenue increased 14.7% to US\$235.0 million, while net income increased 15.5% to US\$79.6 million. Surprisingly, the high margins do not translate into equally high returns on capital. ROE and ROIC are relatively modest at 6.82% and 5.01%, respectively, in FY2025. This is due to geothermal power requiring large amounts of capital to develop and maintain. PGEO's balance sheet is also relatively modest, with a 0.37 D/E ratio in FY2025 according to TradingView.

Valuation

Table 4. PGEO vs. peer valuation and profitability

Company	EV/EBITDA	P/E	Net Margin	ROE	ROIC
PGEO	7.4x	16.9x	32.1%	7.5%	5.1%
BREN	46.8x	155.3x	24.1%	21.5%	10.4%
KEEN	20.8x	30.8x	17.8%	3.2%	4.3%
ARKO	496.7x	181.9x	19.1%	12.2%	1.1%
ORA	16.6x	47.6x	10.7%	4.8%	4.0%

Source: Koyfin, LTM, as of 18 September 2026.

Based on the table, we can see that PGEO trades at relatively low valuation multiples compared with its renewable energy peers. Its LTM EV/EBITDA of 7.4x and P/E of 16.9x are the lowest among the peers. Simultaneously, it has the highest net margin at 32.1%, showing strong overall profitability. However, its ROE of 7.5% and ROIC of 5.1% remain relatively modest, reflecting the capital-intensive nature of geothermal power generation.



Technical Analysis

PGEO has recovered from its June low and remains in a moderately bullish trend, trading slightly above its 20-day EMA of Rp1,040. However, the stock has been consolidating since August, with the resistance level being around Rp1,100–1,120. Its RSI of 56.4 shows mild positive momentum without being overbought. The Rp1,040 level acts as the first support, followed by Rp1,000–1,020. A break above Rp1,100–1,120 with stronger volume could indicate renewed upward momentum, while a sustained decline below the 20-day EMA would weaken the current trend.

Macroeconomic Analysis

PGEO is able to benefit from Indonesia’s push toward renewable energy and greater geothermal electrical capacity. The government’s 2025-2034 electricity plan targets 5.2 GW of geothermal capacity, supporting long-term demand for geothermal power. PGEO also has relatively predictable revenue because its electricity is sold to PLN through long-term agreements. PGEO also benefits from long-term contracts, with the company historically reporting an average remaining duration of more than 20 years for its PPAs, SSCs, and ESCs. This provides relatively high visibility over future electricity and steam sales.

Stock Selection

We chose PGEO because of its impressive margins and relatively cheap valuations relative to peers. PGEO acts as our defensive anchor; its earnings come from long-term government contracts, which means that it is more stable in a way. It will barely react to volatility hitting the rest of our holdings. It’s also priced well compared to similar companies because it’s actually growing at a discount.

3. Portfolio Allocation

Table 5. Allocation of the portfolio

Stock	Weight	Amount	Role	Weight Rationale
BBRI	22%	Rp220M	Domestic banking, diversifier	Largest weight reflects its strong position in Indonesian banking, distinct earnings drivers, and relatively low correlation with other holdings.
AALI	20%	Rp200M	Palm oil	Strong long-term replanting growth potential and a net-cash balance sheet, though limited by CPO exposure and near-term replanting pressure.
AMMN	20%	Rp200M	Copper and gold	High growth potential from copper and gold production and expansion projects, balanced against commodity and project-execution risks.
PGEO	20%	Rp200M	Geothermal energy	High profitability, long-term contracted revenue, and capacity expansion offer an earnings profile that stands apart from the commodity stocks.
ANTM	18%	Rp180M	Nickel and gold	Strong profitability and nickel downstreaming potential, but carries a lower weight due to commodity exposure and overlap with AMMN's gold exposure.
Total	100%	Rp1B		

Because the portfolio cannot be rebalanced during the simulation, the initial allocation was set for the entire 12-month investment period and not for the three-week observation period. The allocation takes into account the expected potential, risk, confidence, and role of each stock in the portfolio. AALI, ANTM and AMMN constitute 58% of the portfolio and are exposed to commodity prices; meanwhile, BBRI and PGEO have different earnings drivers. Historical correlations were also explored, with pairwise correlations varying from 0.06 to 0.35. However, the portfolio remains exposed to typical Indonesian market and commodity-specific risks.

Portfolio Risk Exposure. The portfolio is very sensitive to commodity prices with AALI, ANTM and AMMN

making up 58% of the portfolio. ANTM and AMMN also provide exposure to gold while ANTM and AMMN's nickel and copper businesses are linked to global industrial and downstream demand. BBRI provides exposure to domestic banking and the economic cycle, while PGEO provides exposure to renewable energy and contracted power generation. The historical correlations between the stocks are relatively low, but all five are exposed to broader Indonesian market conditions and foreign investor flows.

Table 6. Portfolio Historical Correlation Matrix (weekly 3yr)

	ANTM	AMMN	BBRI	AALI	PGEO
ANTM	1.00	0.20	0.11	0.22	0.14
AMMN	0.20	1.00	0.06	0.11	0.17
BBRI	0.11	0.06	1.00	0.35	0.20
AALI	0.22	0.11	0.35	1.00	0.17
PGEO	0.14	0.17	0.20	0.17	1.00

The correlation matrix shows relatively low to moderate historical correlations between the five stocks, ranging from .06 to .35. The lowest correlation is between BBRI and AMMN at 0.06, and the highest is between BBRI and AALI at 0.35. This indicates the stocks have had different price movements, but historical correlations can change under different market conditions.

4. Portfolio Risks

Market Risk. All five stocks are subject to broad Indonesian equity market moves, foreign capital flows, and shifts in investor risk appetite. They have different models of business though so less reliance on one economic driver. **Company-specific Risks:** Each of the five companies has its own risks, including AALI's execution of replanting, ANTM's downstream projects, AMMN's smelter and expansion projects, PGEO's geothermal project execution, and BBRI's asset quality and credit growth. **Industry Risks.** AALI, ANTM, and AMMN are subject to commodity-specific risks such as price fluctuations of CPO, nickel, copper, and gold. PGEO is exposed to electricity tariff and geothermal development risks, and BBRI is subject to banking sector conditions. **Economic Risk.** The portfolio could be affected by higher interest rates, rupiah depreciation, weaker economic growth, or slower Chinese or global demand. Domestic credit conditions are more relevant for BBRI, while commodity producers are more exposed to global demand and commodity prices. **Concentration Risk.** The portfolio is highly exposed to commodity prices, with AALI, ANTM, and AMMN representing 58% of the portfolio. The correlation matrix shows rather low to moderate historical correlations, but correlation does not remove common-factor risk. BBRI and PGEO have different earnings drivers and partly diversify this concentration.

5. Conclusion

We are seeking long-term capital appreciation over the 12-month investment horizon through fundamentally sound companies that are reasonably priced and have diverse earnings drivers. The portfolio is allocated Rp1 billion to BBRI (22%), AALI (20%), ANTM (18%), AMMN (20%), and PGEO (20%). AALI is exposed to palm oil and its replanting potential in the long term. ANTM and AMMN are exposed to metals and downstreaming. BBRI provides exposure to banking, while PGEO provides exposure to geothermal power and long-term contracted electricity generation. The allocation considers the potential, risk, and function of each stock in the portfolio and also the historical correlations. The main risks are market volatility, company and project execution, commodity-price fluctuations, economic conditions, and the 58% of the portfolio invested in commodity-related stocks.

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Appendix

The model starts with 2026E EBITDA of Rp4.65 trillion, based on annualized H1 2026 performance. Cash taxes are calculated on EBIT after D&A using a normalized 28% tax rate, while 2026 capex is set at Rp1.4 trillion.

For the discount rate, we use CAPM:

$$\text{Cost of equity} = R_f + \beta \times (R_m - R_f) = 7.157\% + 0.674 \times (13.11\% - 7.157\%) = 11.17\%$$

We'll use this as the WACC because AALI is debt-free. Terminal growth is 3.0%, as it's a mature plantation business with limited acreage expansion. We use AALI's five-year weekly beta of 0.674 according to our own beta calculation.

Table. Estimated Production Impact of 2026 Replanting (assumptions are not company guidance)

Year	Palm age	Assumed yield	Net FFB effect vs. old palms
2026-2028	0-2	0 t/ha	-96 kt/year
2029	3	5 t/ha	-56 kt
2030	4	10 t/ha	-16 kt
2031	5	15 t/ha	+24 kt
2032	6	19 t/ha	+56 kt
2033+	7+	22 t/ha	+80 kt

Beta Calculation

AALI's beta was independently calculated using five years of weekly stock returns against the IDX Composite since financial platforms compare using the U.S. market.

Beta = Covariance (AALI returns, IDX returns) / Variance (IDX returns)

The resulting beta used in the DCF is:

AALI 5-year weekly beta = 0.674